

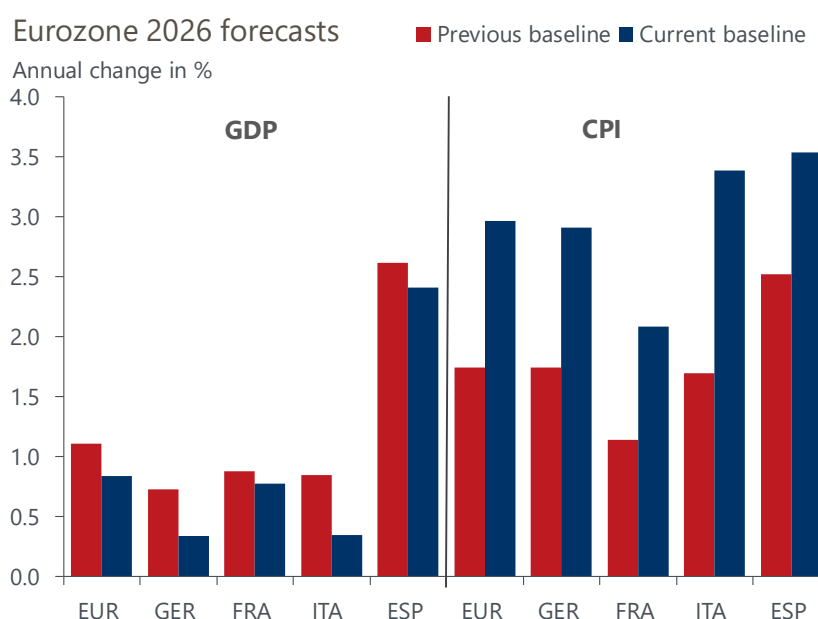
Research Briefing | Eurozone

European forecasts feel the heat from war in Middle East

- Our view of a more protracted conflict in the Middle East leading to higher-for-longer energy prices means we expect higher inflation and lower growth in the Eurozone than we did last month. The uncertainty surrounding the duration and severity of the conflict and the path for energy prices means larger-than-usual forecast revisions are likely over the next few months.
- We see inflation averaging 2.9% this year, nearly double the 1.7% rate we expected in February, driven mainly by a surge in energy costs. The magnitude of the rise in energy prices means that we expect some spillover effects into food and core prices as well.
- We expect the Eurozone economy to grow by 0.8%, compared to 1.1% last month. The initial impact will come via a direct hit to consumers through an adverse real income shock, with only a limited drag on investment. But the longer the conflict, the higher the risks of impacts to activity spreading into all sectors.
- As the crisis intensifies, more EU countries are announcing fiscal packages to offset the impact, but not nearly the size and scope of those seen during the energy crisis of 2021-2022. With larger packages being deployed, fiscal policy will become a more relevant factor for our inflation and growth views given the offset it provides.
- Under this new baseline, we think the European Central Bank will hike rates in June and July in order to keep inflation expectations in check and to signal they are not willing to repeat the mistakes of the 2021-22 energy crisis. We expect the ECB to undo these hikes fairly quickly in 2027, but if the crisis extends, the risks of deeper rate cuts to offset the hit to growth will rise.

Our commodities team thinks the US/Israel war with Iran is likely to trigger a more protracted disruption to energy production in the Middle East and shipping traffic through the Strait of Hormuz, compared to last month. As a result, they revamped their energy price assumptions in our latest forecast update.

Chart 1: Our new forecast sees lower growth, higher inflation



Source: Oxford Economics

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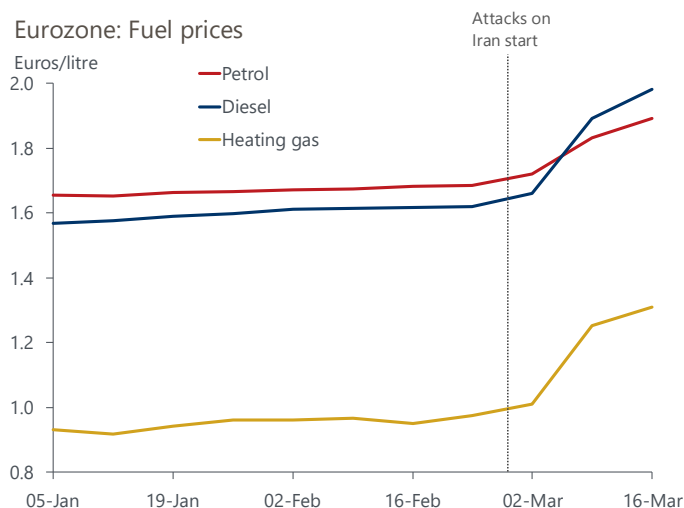
Our new baseline assumes the Strait of Hormuz remains impassable until May due to the risk of attack, with elevated geopolitical tensions continuing to disrupt trade through Q2 and Q3. This translates into a new assumption of crude oil prices surging to an average of \$130 per barrel in April and \$113pb in Q2. We assume transit through the Strait returns only gradually, reflecting the time needed for shut-in facilities to restart, the ongoing risk of attack, elevated shipping and insurance costs, and logistical difficulties in clearing backlogs and wider war-related supply-chain disruptions. Gas prices will also be higher for longer than we expected after the attack on Ras Laffan, the world's largest liquified natural gas facility, shows the supply of natural gas will also be severely affected by the conflict for some time.

A larger impact on inflation than growth, for now

The new energy assumptions have a straightforward impact on our Eurozone forecasts – lower growth and higher inflation. We now expect Eurozone GDP to grow 0.8% this year, compared to 1.1% last month. Among the largest Eurozone economies, Italy sees the largest revision at 0.5ppts to account for the country's large dependence on natural gas. At the other end, France and Spain see smaller cuts to their growth forecast, owing to lower reliance on gas, and in the case of Spain, a large fiscal package that will partially shield the economy.

Inflation will reach 2.9% in our new baseline, almost double the 1.7% we expected only a month ago (**Chart 1**). Higher energy prices are likely to push Eurozone inflation to around 2.5% in March from 1.9% in February. The hit to inflation will be almost immediate given the fast pass-through from crude oil prices into fuel costs. Petrol prices have risen more than 10%, and diesel more than 20% since the start of the attacks in late February (**Chart 2**). [Electricity prices](#) have been rising as well, especially in countries where the price of electricity is more closely linked to the evolution of natural gas prices, although a lot less than they did after the invasion of Ukraine. But this pass-through is more complex, with different retail tariff structures across countries translating into different impacts in terms of magnitude and timing.

Chart 2: Prices at the pump are surging



Sources: Oxford Economics, Haver Analytics

The impact will be even larger after March, pushing Eurozone inflation above 3% during Q2, which we think will mark the peak of the inflation cycle. However, we don't expect inflation to quickly normalise afterwards for several reasons: apart from the already-discussed higher-for-longer scenario of oil and natural gas prices, we expect fuel prices to remain high even if crude prices fall faster than we assume given the evidence that refinery margins tend to stay elevated when energy prices fall from high levels. In addition, the sharp rise in energy costs will feed into other components of the consumer basket, especially food prices, given that the crisis is already having an impact on the supply of products like fertilisers and is already impacting agricultural commodity prices.

There will also be some spillovers into core inflation. Some price impacts will occur more immediately like airfares, which are likely to rise sharply on account of higher fuel costs. If supply-chain issues persist for a

prolonged period, then virtually all products will be affected within a few months. Even if we don't currently assume the inflation shock will be near the magnitude of the one seen after the invasion of Ukraine, that episode offers a useful template to demonstrate how large energy shocks can quickly propagate across all sectors of the economy.

The rise in inflation will represent a direct hit to household incomes, as wages are highly unlikely to react quickly enough. It's almost certain that real income growth will be weaker than we assumed a month ago, hitting consumer spending. Consumer sentiment is already reacting to the constant news of the war, posting a large drop in March. This will pose an additional headwind to private consumption, as it's unlikely that European consumers will dip into their savings to make up for the loss of real income.

The comparatively smaller revisions to growth versus inflation mainly reflect the assumption that the conflict won't extend beyond a few months. But the uncertainty around the evolution of the conflict and the path for energy prices mean that larger-than-usual forecast revisions are likely over the coming months. Just yesterday, a simple post from President Donald Trump on social media suggesting an imminent resolution of the conflict was enough to send oil prices tumbling more than 10%. A relatively short conflict would likely mean the damage to activity is contained and mostly centred around a temporary hit to incomes, with limited damage to industry and investment.

But the longer the conflict goes on, the risk of a broader and more entrenched economic shock grows. If hostilities were to escalate and extend further into other energy and critical infrastructures, the risks of an exponential hit to activity would rise substantially. This could be compounded by markets that are now more volatile and sensitive to geopolitical risk, with financial asset prices reflecting increased uncertainty; a deeper or longer conflict would likely amplify risk-off sentiment, put further downward pressure on equities, and exacerbate the hit to growth, given the tightening in financial conditions.

Crisis will cause a reaction from fiscal and monetary policy

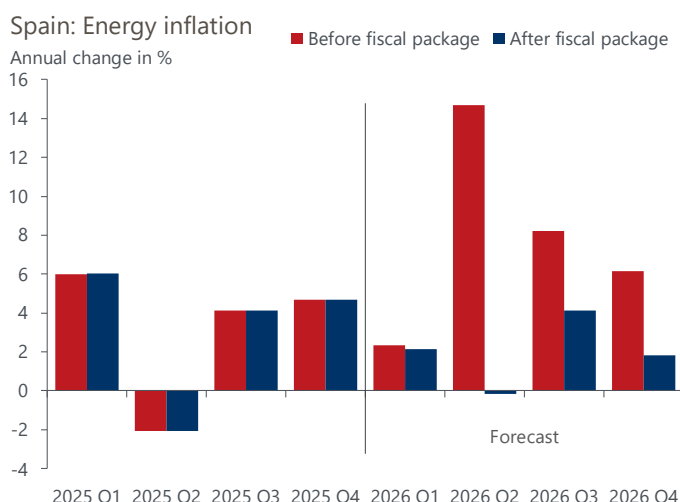
The crisis has already caused a reaction by several European governments, which are quickly deploying [fiscal countermeasures](#) in order to help shield businesses and consumers from the impact of higher prices. It's no surprise that governments are reacting much faster than they did in 2021-2022, as the inflationary cycle that followed that energy crisis left deep scars everywhere, and no politician wants to see a repeat of that episode.

So far, the scope and magnitude of the announced fiscal plans have been minuscule in comparison to 2021-2022, when European governments spent an estimated €600bn. Another difference is that this time, measures are generally focused on short-term relief, rather than broad fiscal interventions. It would take a deep deterioration of the conflict for European governments to start considering the type of measures that were deployed then.

However, the direction of travel is pointing towards more intervention, and increasingly larger programmes. Whereas the first countries to launch measures such as Portugal, Greece, and Croatia announced packages worth some hundreds of millions of euros, Spain recently announced a much more comprehensive set of measures that amount to €5bn to protect the economy, including subsidies and tax cuts to fuel and electricity, among other measures. The scope of the intervention is enough to make a substantial difference for our energy and inflation forecasts in the near term ([Chart 3](#)). If the conflict persists, we expect more countries to follow suit, so fiscal policy will become an increasingly important factor shaping our inflation and growth forecasts.

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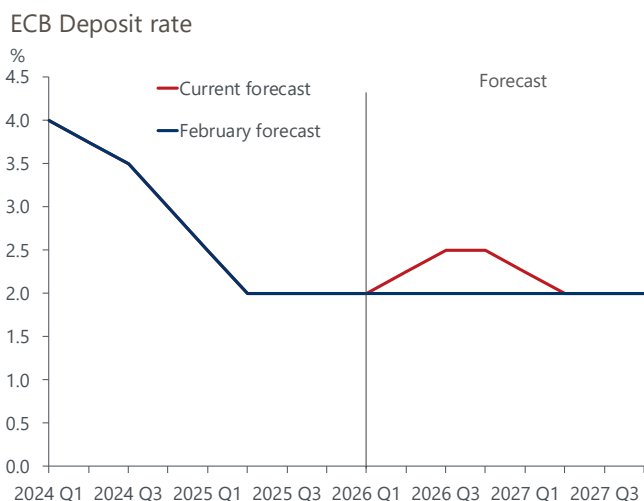
Chart 3: Fiscal measures are starting to have a sizeable impact on inflation forecasts



Sources: Oxford Economics, Haver Analytics

Our new forecasts mean we now expect the [European Central Bank](#) (ECB) to hike interest rates twice this year, in June and July (**Chart 4**). Despite producing an updated set of forecasts to account for the latest developments, we think the ECB's assumptions on energy prices and inflation remain too benign and it'll be forced to revise them further. The central bank's communication has remained hawkish ever since the inflation surge of 2022, and we think it will not be able to look through this energy shock, even if it deems it to be temporary. We think the ECB will hike rates to signal to markets it's serious about keeping [inflation expectations](#) anchored, as many within the governing council are wary of repeating the same mistake of 2021 and appearing too slow to react. But we expect the ECB to cut rates again relatively quickly in mid-2027, bringing back the deposit rate to 2% as energy prices normalise.

Chart 4: We now expect the ECB to hike rates twice this year



Sources: Oxford Economics, Haver Analytics

As with the growth and inflation forecast, the future path for rates is hugely conditional to the evolution of the conflict. As it stands, we think the balance of risks between inflation and growth tilt towards central banks initially taking a hawkish stance. But if the crisis persists, the risks of central banks having to reverse course and implement deeper rate cuts later to offset the hit to growth will increase as well.